

Today Texas Instruments is the largest world-wide producer of semiconductors, with Motorola running a close second. At that time, Motorola's position in the semiconductor industry was insignificant. It was no factor at all in causing me to buy the shares. Rather, I became impressed both with the people and with Motorola's dominant position in the mobile communications business, where an enormous potential seemed to lie; whereas the financial community was valuing it as just another television and radio producer. Motorola's subsequent rise in the semiconductor area, resulting at least in part from their acquiring the services of Dr. Daniel Noble, was all to come later and was additional icing on the cake not anticipated by me at the time of purchase. In the case of Texas Instruments, aside from an equally great liking and respect for the people, I was influenced by a quite different set of beliefs. I saw, as did others, a tremendous future that could be built out of their transistor business as the complexities of semiconductors were yielding to human ingenuity. I felt that those were people who could compete on at least even terms, and probably better than even terms, with General Electric, RCA, Westinghouse, and other giant companies despite the opinion of much of Wall Street. A number of people criticized me for risking funds in a small "speculative company" which they felt was bound to suffer from the competition of the corporate giants.

After buying these shares, the near-term results in the stock market were quite different. Within a year, Texas Instruments had increased in value quite handsomely. Motorola fluctuated in a range from 5 percent to 10 percent below my cost of purchase. It performed sufficiently poorly that one of my major clients became so irritated by its market action that he refused to call Motorola by name. He only referred to it as "that turkey which you bought me." These unsatisfactory quotations were to continue for moderately over a year. Yet as awareness of the investment significance of the communications arm of Motorola was to seep into the consciousness of the financial community, together with the first signs of a turnabout in the semiconductor area, the stock then became a rather spectacular performer.

While I was buying Motorola, I was doing so in conjunction with a large insurance company that had let the Motorola management know that they were also interested in the conclusions of my first visit. Shortly after the insurance company too had bought a significant amount of Motorola stock,